

Motherson Innovations Tech Limited (MITL)

Separation Policy

1. Objective

To provide guidelines for Employees regarding separation from employment. The policy governs the activities that take place when an employee voluntarily chooses to resign or is terminated by the company. It is beneficial to all the parties in interest to avoid any misunderstandings during separation. The policy is drafted in such a way that they abide by all the laws of the land.

2. Scope

This policy gives a detailed outlook on the exit process followed by the company. It gives an insight into the release formalities, the notice period required to be served, treatment of benefits, exit interview procedures, etc. This policy is applicable to all the active permanent employees of MITL unless specified otherwise.

Definitions

- i. **"Company"** refers to **Motherson Innovations Tech Limited** in India.
- ii. **"Employee"** shall mean a person who is on the payrolls of the Company including but not limited to permanent/ part-time/fixed term/ expatriates working on work visa issued by appropriate authority, if any;
- iii. **"HR"** refers to the HR Employee Partner of the Employee
- iv. **"Full and Final Settlement"** refers to the calculation and settlement of monetary dues (payable/receipts) with respect to Employee separation from Company.
- v. **"Notice Period"** refers to the time given by employer and /or Employee to each other for separation.
- vi. **"Last Working Date /Release Date"** refers to the last working day (LWD) of Employee, when person ceases to be Employee of the company. Release day is always a Working Day. The full and final settlement of dues is calculated up to the LWD.
- vii. **"Reporting Manager"** shall mean any other Employee of the Company or its affiliated companies, who by nature of his duties, exercises authority or supervision or control over an Employee during the course of this normal duty hours;
- viii. **"Function Head"** shall mean any other Employee of the Company or its affiliates who is authorized by the management to head a line of business.
- ix. **"Unauthorized Absence"** shall mean absence from work without any intimation to the Authorized Person shall amount to Unauthorized Absence.
- x. **"Warning letter"** shall mean a formal written letter issued to a Potential Absconding Employee
- xi. **"Absconding"** shall mean Any Employee who does not notify his absence in spite of the issuance of the warning letter(s).
- xii. **"Voluntary Separation"** shall mean an exit when an employee separates from his/her services with the company willingly.
- xiii. **"In-Voluntary Separation"** shall mean an exit on because of conditions like – Asked to leave on grounds or performance or disciplinary issue, Demise.

Voluntary Resignation

Voluntary resignation occurs when an employee decides to resign from the services of company. Resignation is a personal decision and is initiated by giving formal notice by employee with intention to leave the company.

- Employee must necessarily submit his/her request through email to Manager & Line HR.
- Notice period will be effective from the date of initiation through email.
- Notice period for all active employees is 90 days.
- Last working day for a voluntary exit will be a working day. If it falls on a weekend or on a holiday, then in that case the last working day will be preponed to the previous working day of the week.
- Employment with the Company can be terminated either by the Company or by the Employee by giving the other party advance notice as specified above. If the Company terminates the employment and decides to relieve the Employee before the completion of the notice period, the "Basic" component of the salary for the balance notice period would be paid to the Employee.
- The company reserves the right to terminate the employment without notice on grounds of breach of policy, misconduct, Employees being absconding, disciplinary issues, failure of background check, Employee being convicted under any court of law etc
- If in case an employee requests for early release, then the employee is liable to pay to the company the basic component of the salary for unserved notice period
- The company reserves the right not to accept notice pay in lieu of notice period. Waiver of notice period in lieu of pay upon resignation shall need to be authorized by respective HR for all Employees. However, there will not be any waiver in notice pay under any circumstances.
- The salary for any Employee who has submitted his/her resignation or "Intention to separate" will be put on hold for the month in which his/her resignation information is made available to the payroll team. The salary for subsequent month(s) will be released to the Employee in the regular manner. In case, there is any outstanding amount on Employee post holding the first month salary, then the salary of the subsequent months (till date of relieving) will also be put on hold.
- The held-back salary of one month or subsequent months for the Employee will be paid along with the full and final settlement.
- If the Exit gets initiated as Absconding (Involuntary –and reason of resignation is absconding) then the salary of such Employees will be put on hold from date of Exit initiation till indefinite period.

Note: Salary including any other payments like Bonus, Allowances etc. scheduled for that month will be put on hold.

Compensation Increase

- While on notice period, Employees will not be eligible for any compensation increase and / or change in position related attributes that are due as on the date of resignation or deemed due from a prior date owing to Company decisions at a later date
- Employees who have initiated pre-separation before the release of revised compensation increase letter will not be entitled for compensation increase.

Leaves during Notice Period

- Employees cannot avail of any leave (paid Block, Privilege, CL/ unpaid) during the notice period except for exceptional circumstances (to be approved by RM, Line HR). In such cases, the notice period may be extended by the same number of day(s) for which the Employee is on leave(s). However, this will not be applicable for Company holidays and RHs.
- If Resignation is submitted on long leave paid/unpaid (greater than 60 calendar days): The policy provisions provided above will apply. The period when Employee is on leave will not be considered as valid notice period and/or agreement commitment. The Employee should pay liquidated damages in lieu of notice period and /or agreement commitment as per policy.

Exit Interview

- The Employee will be required to complete an exit interview with the Human Resources Department. During the exit interview, the Employee can express him/herself freely.
- The exit interview will be conducted by respective HR Partner. All information will be kept strictly confidential and will in no way affect any reference information that MITL management will provide to another employer about the concerned Employee.

WORKFLOW

1. Employee initiates Resignation via Email.
2. Intimation email is sent to Reporting manager along with HR (HR.MI@motherson.com).
3. Reporting manager approves the resignation on Email, if not it is auto approved after 7 days.
4. HR will initiate no due's clearance after approval of Reporting manager
5. After initiation, no dues will go on parallel workflow with RM, ITISG, Admin, Commercial and Finance.
6. Final no dues and clearance will be approved by HR
7. Within 45-60 days of leaving, payroll team will settle the full and final account of the individual by considering all payables/recoverable lying balance in books of accounts.

Absconding/ UN-AUTHORIZED ABSENCE

Any employee who stops reporting to work (unauthorized absence) without any intimation or notice to Reporting Manager in writing will be treated as potential absconding and will be liable for following action from the company.

- Any un-authorized absence of 5 or more days has to be reported by RM to the HR. As soon as the HR is intimated about an absconding employee, HR will try to establish the contact with the employee through 2 e-mails (on official and personal id) and subsequently if he/she does not respond till 15th Calendar Day of absence, HR will initiate absconding termination in the system.
- Payroll team will be notified to put employee's salary on hold.
- Communications related to warning/termination letters will be sent on official & personal email id of employees. Any lack of information/inaccurate information provided is the responsibility of employee (including email ids), company will not be held responsible for any incorrect information provided by employees.

- In absence of any response/ action from Employee and HR within the defined timelines, Auto Termination letter will be released for employee by email & post and LWD will be captured accordingly in HRIS1.
- If the employee returns in between the period from dispatch of 1st warning letter to dispatch of termination letter, Employee will be eligible to apply leave in the HRIS1 of MITL. All Sick leaves (if any) must be supported by medical certificates issued by an authorized registered medical practitioner and the HR will revoke the absconding.
- The company may move to the court against the employee if the employee doesn't return the company's assets lying in his possession and outstanding amount if any to the company or doesn't respond to the notice sent by the company
- Any employee terminated on grounds of absconding from work will not be reconsidered for re-employment with MITL
- No relieving letter will be given to the absconding employees and experience letter will be issued on completing all clearance and on payment of dues as per the full and final settlement and clearance.

Retirement

Retirement is a separation from employment on reaching the superannuating age.

- The retirement age for all employees is 58 years.
- Notice period will not be applicable for retirement cases
- Last working day will be last date of the month in which employee is completing the retirement age.
- Variable Pay will be prorated for the number of months served in the Appraisal period and will be calculated taking 100% as the base.

Demise:

A termination of employment due to the demise of an employee while in service with the company.

- Date of demise will be considered as his/her last working day
- All outstanding dues towards advances/loans and pending assets recoverable will be deducted from amount payable.
- No dues outstanding can be recovered from employees PF and gratuity
- Notice period will be waived off and recovery will not be applicable
- For any excess amount (Which cannot be recovered due to insufficient payable amount), Company will request beneficiary to settle the dues. Any waiver of the outstanding dues will be at management discretion.
- Payments if any will be made to the beneficiary through H2H (bank transfer)
- Gratuity will be paid to the beneficiary
- Variable Pay will be prorated for the number of months served in the Appraisal period and will be calculated taking 100% as the base.

Full and final settlement

- For Voluntary and involuntary resignation cases, it will be done within 45-60 days from the Last Working Day, subject to no dues and relevant details also being made available in the Clearance Checklist form.
- For Absconding cases, F&F will be done on completion of clearance in the system.

- For Retirement cases it will be done within 30 days from the date of clearance.
- For Demise Cases F&F will be done at the earliest, on receipt of requisite documents like Death Certificate, Indemnity bond from claimant and non- claimant party.
- Employee should settle all outstanding dues towards loans, advances or pending assets at least one week before release date so Full and final Settlement can be initiated.
- No outstanding dues can be recovered from Employee's PF, Gratuity.
- Annual Leaves (if any) prorated till LWD, will be encashed along with Full and final settlement. Any excess Annual Leave (over and above the pro-rated entitlement till LWD) taken by the employee will be recovered.
- Employee will be responsible to take all clearances in the system from all stakeholders before the LWD.

Note:

- Employee must submit soft copy of HRA rent receipt and current year investment in IT declaration at-least 15 days before his/her LWD.
- Employee need to ensure that their attendance on HRIS1 is filled and approved till their LWD.
- Employees must ensure that they complete their No Dues clearances before Last Working date.
- Non –Submission of company assets will lead to recovery from F&F. The recovery cannot be reverted once F&F is closed.

6. Relieving letter / Experience Letter

- Employee will get their Relieving on their last working day subject to completion of clearance from all stakeholders.
- Experience Letter shall not be available till the time Employee clears his/ her dues with the Company.

Separated employee can connect with their HR Partners for their specific request with respect to F&F and PF related queries on HR.MI@mother'son.com.

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